# Inflation raises the cost of capital

The yardstick for assessing companies changes

As inflation becomes entrenched, companies move away from a world where cheap funding is taken for granted.

Inflation → higher interest rates → higher borrowing costs → higher returns required by shareholders → higher WACC (cost of capital).

Caution
Inflation does not always mean a higher cost of capital. However, when persistent inflation coincides with rising interest rates, corporate funding costs tend to increase.

# Even profitable businesses can destroy value

Look at the difference between ROIC and WACC

Example in a low-rate environment
ROIC 5% > WACC 3%
Returns on invested capital exceed the cost of capital. This tends to create corporate value.

After the cost of capital rises
ROIC 5% < WACC 7%
Although profitable, the business falls short of the required return. It may destroy corporate value.

The formula to watch
ROIC - WACC
The more positive, larger and more sustainable this gap, the stronger the business.

# Why the “best owner” matters

Who can make the most of this business?

There is no need to keep a business out of inertia when it cannot exceed its cost of capital.

01 Improve it internally
Raise ROIC above the cost of capital.

02 Consider selling
To a company that can operate it better than you.

03 Reallocate capital
Direct sale proceeds toward a high-return core business and growth areas.

04 Increase corporate value
Place limited capital where it can earn the most.

BEST OWNER
The owner best able to improve a business's competitiveness, profitability and growth. M&A and business sales can be tools for capital efficiency, rather than simply withdrawal.

# Investors should assess capital allocation

Inflation makes differences between managers more visible

1. Does ROIC sufficiently exceed WACC?
2. Are low-return businesses being retained out of inertia?
3. Is the company truly the best owner?
4. Can it make rational decisions on sales and exits?
5. Can released capital be reinvested in high-return businesses?

Conclusion
In a low-rate environment, even low returns could more easily exceed the cost of capital. Once that cost rises, the same ROIC may cease to create value.

That is why “who should own it” and “where capital should go” matter alongside “what to own.”

In an inflationary era, capital allocation separates companies' value.